Transcript of Chairman Warsh's Press Conference

October 28, 2026

CHAIRMAN WARSH. Good day.

This morning the FOMC decided to maintain the target rate for the federal funds rate at 3¾ to 4 percent, in support of the Federal Reserve's dual mandate.

Economic activity is expanding at a strong pace. While uncertainty remains—owing, in part, to geopolitical developments—domestic spending has been resilient. Productivity growth is strong, and capital investment robust. Job gains have kept pace with the workforce, and the unemployment rate has changed little.

But inflation remains elevated. The Committee believes that the accumulation of more information will help it determine the policy stance appropriate to ensure a timely return of inflation to the 2 percent goal. The Committee will deliver price stability.

At each policy meeting, my colleagues and I assess the economy by looking out the window—it's what we call "interrogating reality"—to gauge what's really going on. It is not a task that has grown easier.

So what exactly do we observe? Economic growth has strengthened. The GDP increase in the first half of this year was revised up from an earlier estimate of 1.8 percent up to 2.4 percent. And the third quarter appears to have brought an even more rapid advance, led by healthy consumer spending, likely running above 3 percent growth, and business investment, likely rising at about a double-digit pace.

Capital expenditures are at a historically high share of GDP. High-tech investment is leading the acceleration. But there's also been a broadening in other categories. And these trends bear watching.

VICTORIA GUIDA. Hi Chair Warsh. Victoria Guida with Politico. I wanted to ask, next week is a hearing at the White House on Lisa Cook's future and allegations that have been made against her. Are you personally, or the Fed as an institution, going to be involved at all in those proceedings?

CHAIRMAN WARSH. Not to my knowledge.

MICHELLE SMITH. Thank you.

CHAIRMAN WARSH. Thank you guys.